

father of HCL?

At the moment, we've just signed a joint partnership and I think the announcement came because the Hon Hai Group is a listed entity and they had to inform the Taiwanese stock exchanges. But we see them as a great strategic partner as well. And, of course, a lot of people know them much more for their manufacturing prowess, but a big part of the universe of their manufacturing is the work that they do in semiconductor design.



Do you see this whole ecosystem—different

of hi-tech assembly and testing. We already understand the services ecosystem. And also, there are many states in India, it's no longer isolated to just one or two states, where there is a push on manufacturing. So, wherever there's going to be manufacturing, especially electronics manufacturing... you're going to need chip design and you're going to need assembly and testing, which is closer.



Do you think, in the global context, is this some kind of parachute or cushion for global supply chains?

“Wherever there's going to be manufacturing, especially electronics manufacturing, you're going to need chip design”

aspects of design to actual production and manufacturing—coming along in India? Because we've seen that the government's been trying really hard, but the process seems to be moving much slower than we would ideally want...

Maybe, but I don't know how many of the announcements in collaborations that have been made, had a technology partner on the other side. So I think maybe that helps scale much faster because... we are going to be in the area

I think it's not fair to always look at India as a China+1 strategy. I think today we are as large a—if not larger—consuming market as China. And in the universe of IT services, we're the largest provider of services. All the push that India's having, not just in semiconductor and design, but also in manufacturing, is to be a marketplace for the rest of the world and not necessarily a substitute for any other.

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one is to learn the product, technology, and process. Then you can always use capacity and build your brand,” says Singh.

INDIA, AN OSAT NATION?

India is by far the best place for subsidising ATMP/OSAT units. If one combines the Indian government's semiconductor incentive scheme with incentives offered by various states, the subsidy could go up to 70% for the major cost structures involved in OSAT/ATMP site economics.

But incentives and government support alone cannot make India an OSAT nation. Indian players getting into OSATs must ensure successful execution while keeping track of the competition. Over the past decade, there has been growth and acceptance of speciality foundries that have innovated with architecture and materials on the legacy nodes. Still, there has been no radical player in the value chain's backend or packaging portion—India can leverage this strategic value opportunity.

THE WAY AHEAD

With the government doing its bit to get the best private names in the business, 2024 could be a breakout year for the sector in India. “The year 2024 will be a breakout year for this sector with large OSAT projects already approved and more under evaluation,” says Gupta of the VLSI Society.

However, the government has made production-grade technology mandatory for approving any project. According to information in the public domain, many projects are being discussed, including those of Tower Semiconductor (fab), Silicon Power (compound semiconductor fab), and SIC-SEM (compound semiconductor fab).

“A significant chunk of ₹4,203 crore has been earmarked for incentives for ATMP, ₹1,500 crore for fabs, ₹900 crore support for the Mohali-based semiconductor laboratory, and ₹200 crore for the design-linked incentive scheme,” says Gupta of IESA.

The players expect the government evaluation of other projects to be completed by the end of this year. **BT**

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